

Roll over your investments when you leave your employer if you participate in their plan. If you are switching jobs, it's better to move your retirement savings into your own IRA with a brokerage firm. This way you have more investment options and can avoid high fees.

Don't borrow or withdraw from your retirement savings. Does your employer give you the option to borrow from your retirement savings account? While this may sound like a great option, don't get too excited yet; when you look at it closely, it might not be such a great idea. Withdrawing or borrowing money from your retirement savings can have adverse effects on your wealth-building efforts over the long term for a number of reasons:

- Like many people who borrow from their retirement accounts, you might have to reduce or stop your new contribution amounts altogether in order to be able to make the loan repayments.
- You will lose the potential long-term gains/earnings you would get if your money had remained invested and was working for you.
- You will lose out on the effects of compounding when you take money out of your retirement savings accounts.
- If you quit or get fired while you have a loan pending from your retirement account, you will have to repay it in full almost immediately; otherwise you will have to pay an early withdrawal penalty.
- If you withdraw your money before your eligible retirement age (e.g. cashing out when you leave a company or from an IRA), you will be liable to pay income taxes as well as an additional 10% penalty on the total amount withdrawn.
- If you are making a withdrawal from a non-taxable retirement account like a Roth IRA, you will still be liable for income tax on your earnings as well as a possible penalty based on the total amount withdrawn (although you can withdraw the amount you've contributed without penalty).

What does this look like in actual numbers? Let's say that right now you are considering taking \$1,000 out of your pre-tax retirement account as a